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ITH A VIEW to achieving net-zero carbon emissions by 2046, energy major Indian Oil Corporation had announced in August 2022 its plans to invest ₹2 lakh crore in phases, including purchasing carbon credits. Separately in September

2022, Indian energy sector behemoth NTPC was looking for a professional well-versed in carbon trading, who also had experience of working with carbon markets, carbon credits, carbon tax and emissions trading schemes, ESG, carbon neutrality, etc. While these are just two examples, there are many such entities that are working on such sustainability measures. But why the sudden interest?

As temperatures and greenhouse gas (GHG) emissions rise, sustainability has become a major focus area not just for regulators, but even for investors, community stakeholders, consumers, and more importantly industries, all worrying about the devastating impact of emissions on the environment. This has spurred everyone—from legacy businesses to start-ups, and regulators to policymakers—to take a serious note of their collective carbon footprint. But as some of the largest contributors to global GHG emissions, many industrial firms that are required to meet certain emission reduction targets, either by law or due to their own policies, are struggling to eliminate or even lower their carbon footprint.

It is this major gap on the road to sustainability that carbon credits are filling for companies—by helping them meet their emissions targets, or by offsetting them. This is especially true for companies working in industries such as energy, steel, cement and transportation, among others, which due to a lack of availability of technical know-how or the resources to develop them, are not able to remove as much GHG from the environment as they put in. Such firms rely on carbon trading, either by purchasing carbon credits, or by funding projects that generate carbon credits. And all this, despite the criticism of offsets.

“Carbon credits are mechanisms through which lower or no emissions of one player can be sold in a market to offset emissions of another who is ready to pay for it,” explains Hetal Gandhi, Director-Research at CRISIL Market Intelligence & Analytics. For example, if an electricity

INDIA'S ACTION PLAN

The country is working to boost its domestic carbon credit market

1

India plans to develop the Indian Carbon Market (ICM), with an objective to decarbonise the Indian economy by pricing GHG emissions through trading of carbon credit certificates

2

The ICM is being created in compliance with Article 6.2 of the Paris Agreement

3

The Bureau of Energy Efficiency, under the power ministry, along with the Ministry of Environment, Forest and Climate Change is working to develop a Carbon Credit Trading Scheme that is expected to be notified in June 2023

4

Carbon Credit Certificates under the CCTS are expected to be available for trading by 2025

TYPES OF CARBON MARKETS



COMPLIANCE MARKET

► **Compliance carbon markets are established by governments as a means to achieve their carbon reduction targets. These markets operate on a mandatory basis, with participating organisations required by law to participate in the market and meet certain carbon reduction targets**



VOLUNTARY MARKET

► **Largely unregulated, such markets offer credits produced by emission-reduction initiatives that other companies can purchase to offset their carbon emissions. These offset credits can also be given out for initiatives that avoid or reduce emissions. There are various international standards for such carbon credits active in the market**

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